

AllianceBernstein's \$75M Industrial Loan Shows Private Credit Is Picking the Right Development Risk

The deal reveals how institutional capital is underwriting future cash flow, not just existing income.

The most important number in Rechler Equity Partners' \$75 million development facility from AllianceBernstein is not the loan amount. It is the vacancy rate: 4.9 percent. That is the Long Island industrial market's first-quarter 2026 figure, one of the lowest in the Northeast. When a lender sees that kind of supply constraint, it stops asking whether the market can absorb new space and starts asking which sponsor can deliver it.

AllianceBernstein answered that question with Rechler Equity. The deal finances Rechler Business District, a master-planned industrial business park in Medford, New York, about six miles northeast of Patchogue. The property already includes a fully leased 140,875-square-foot shallow-bay logistics facility at 10 Donalds Way and 9.8 acres of 100 percent leased industrial outdoor storage at 25 Donalds Way. The loan also covers roughly 45 acres of additional development land.

This is not a speculative bet. It is a structured advance on a known outcome. The existing cash flow is stabilized and investment-grade. The development parcels sit inside a market where vacancy is below 5 percent and new supply is limited. The sponsor has a track record. The leverage is low. AllianceBernstein is not lending into uncertainty. It is lending into a spread that the market has already validated.

What makes this deal worth watching is what it says about private credit's appetite for development risk in 2026. Banks have largely retreated from construction and development lending, especially for projects that require time to lease up. Private credit has filled some of that gap, but selectively. The lenders that are active are not underwriting pro forma optimism. They are underwriting pre-leasing, sponsor equity, and basis protection.

AllianceBernstein is a particularly interesting lender here. The firm manages over \$700 billion in assets and has been building its direct lending platform in real estate. It is not a local bank making a relationship loan. It is an institutional capital allocator choosing to deploy into a development facility because the risk-adjusted return meets its threshold.

That threshold includes a sponsor with a long history on Long Island, a market with structural supply constraints, and a project that already generates income before the new parcels break ground. The JLL capital markets team that arranged the financing described the deal as combining stable income from an investment-grade tenant, a low leverage profile, and Rechler's development track record. That is the formula that works in this cycle.

It is not available to every sponsor. It is not available for every project. It is available when the lender can see the exit before the first shovel hits the ground. Who benefits from this deal? Rechler Equity gets the capital to expand a project that already works. AllianceBernstein gets a secured yield with downside protection built into the structure and the market.

JLL earns a fee for matching the right capital to the right risk. The broader market gets a signal that development financing is not frozen. It is just concentrated around sponsors and assets that can prove the math before the loan closes. Who is exposed? Every developer without a pre-leased, low-leverage project in a supply-constrained market.

The gap between the sponsors who can access this kind of capital and those who cannot is widening. That gap is not about relationship lending. It is about underwriting discipline. The lenders that are active are not taking development risk broadly. They are taking it narrowly, and only when the downside is already capped. The next thing to watch is whether this pattern holds across other industrial markets with similar vacancy profiles.

If institutional lenders like AllianceBernstein continue to back development in supply-constrained submarkets with credible sponsors, the recovery in construction starts will be uneven. It will favor the markets and sponsors that never lost their access to capital in the first place. AllianceBernstein is not making a statement about the future of industrial development. It is making a loan that works today. That is the only kind of loan getting done.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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